the stock blew through the calculated target of 75.28 on the way down. The target is just an arbitrary number; the stock doesn't know to turn there.

If I had shorted the stock, I'd be nervous that the stock would reverse when it went horizontal. I'd be covering that short, especially when price made a strong push upward for a week prior to the breakout from the circle (peaking 3 days before candle D).

The stock broke out downward from the consolidation region at D and continued lower, bottoming well below the launch price. As I said, that's unusual both in the velocity of the decline (a straight-line run down) and how far price dropped.

Usually the decline is more sedate, with price pausing often on the way down. Many times it doesn't get close to B.

If we ignore the congestion region at E, I'd be covering my short at D (in the middle of that price bar), which is slightly above the low at B.

Why did the stock drop? Answer: Earnings were announced at C. Oh! So that's the cause!

Look at the chart one last time. This is what an earnings announcement looks like when the market *hates* the results. The market sliced 33% from the value of the stock, as measured from the close before the announcement to the June low. If you could time an entry near the June low, there was money to be made when the stock bounced going into the July earnings announcement.

This chart also shows what a dead-cat bounce event pattern looks like. I try to avoid buying a stock within 6 months of a dead-cat because of the probability of another one happening at months 3 and 6 (both announcements of earnings). Problems that often cause dead-cats take more than one or two quarters to fix.